

Adobe

Cheap, but fundamentally challenged; Reinstating Underperform and \$190 PO

Reinstating Coverage: UNDERPERFORM | PO: 190.00 USD | Price: 218.07 USD

AI-driven disruption narrows Adobe's competitive moat

We are reinstating coverage of Adobe (ADBE) with an Underperform rating and a \$190 PO, based on 7x CY27E EV/FCF. We flag rising risk to the growth profile as generative AI (GenAI) lowers barriers to content creation and increases competition from lower-cost and AI-native alternatives. We believe some professionals will remain focused on pixel level control and continue to utilize Adobe's tools, but AI will likely displace large parts of the core market over time, with likely pressure on pricing and seat expansion. We see Adobe's own AI strategy as largely defensive, supporting engagement and retention but limited on its ability to generate incremental high-quality ARR at scale.

Growth reacceleration unlikely in the near term

Our report is centered on a key question: can Adobe reaccelerate growth in the age of AI? Adoption across AI products is notable, but we see limited evidence it translates into meaningful ARR uplift, with AI-first ARR still representing <2% of total ARR. Risk is concentrated in lower-end and prosumer cohorts, where "good enough" AI output can substitute for paid workflows, while professional and enterprise use cases remain more resilient but not immune. At the same time, the shift toward freemium and consumption-based pricing introduces monetization risk. We expect growth to decelerate over time and model it to decline from 10.5% in 2025 to 8.8% FY27E, with no clear path to near-term reacceleration.

Valuation is tempting, but no catalyst in sight

The stock trades at the low end of the peer group, at 8x CY27E EV/FCF, but valuation alone is insufficient to drive outperformance, in our view. Our 7x CY27E EV/FCF multiple reflects structurally slower growth and increasing uncertainty around monetization quality. We expect margins and FCF generation to remain strong, but see limited multiple expansion without clear evidence of AI monetization and growth acceleration.

Estimates (Nov) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	18.43	20.95	24.40	27.54	31.08
GAAP EPS	12.37	16.70	17.55	19.99	23.27
EPS Change (YoY)	14.8%	13.7%	16.5%	12.9%	12.9%
Consensus EPS (Bloomberg)			24.38	27.30	30.71
Consensus EPS (Visible Alpha)			18.03	20.99	23.99
Valuation (Nov)					
P/E	11.8x	10.4x	8.9x	7.9x	7.0x
GAAP P/E	17.6x	13.1x	12.4x	10.9x	9.4x
EV / EBITDA*	7.4x	6.8x	6.2x	5.8x	5.4x
Free Cash Flow Yield*	9.1%	11.4%	11.9%	12.9%	14.1%

* For full definitions of *IQmethod*SM measures, see page 21.

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Equity

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Stock Data

Price	218.07 USD
Price Objective	190.00 USD
Date Established	7-Jul-2026
Investment Opinion	B-3-9
52-Week Range	190.12 USD - 386.60 USD
Mrkt Val (mn) / Shares Out (mn)	86,683 USD / 397.5
Free Float	99.8%
Average Daily Value (mn)	1683.91 USD
BofA Ticker / Exchange	ADBE / NAS
Bloomberg / Reuters	ADBE US / ADBE.OQ
ROE (2026E)	83.2%
Net Dbt to Eqty (Nov-2025A)	6.7%

See Glossary on page 19

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iQprofileSM Adobe

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.6%	44.3%	46.6%	47.9%	47.8%
Return on Equity	54.1%	69.5%	83.2%	84.3%	79.7%
Operating Margin	46.6%	46.2%	45.0%	45.1%	45.0%
Free Cash Flow	7,873	9,852	10,323	11,161	12,245

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.0x	1.1x	1.1x	1.1x	1.1x
Asset Replacement Ratio	0.1x	0.1x	0.1x	0.1x	0.1x
Tax Rate	19.8%	18.4%	23.2%	23.2%	22.6%
Net Debt-to-Equity Ratio	-14.1%	6.7%	4.8%	-17.5%	-40.2%
Interest Cover	NM	41.8x	46.3x	49.4x	NM

Income Statement Data (Nov)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	21,505	23,769	26,531	28,857	31,357
% Change	10.8%	10.5%	11.6%	8.8%	8.7%
Gross Profit	19,264	21,489	23,843	25,825	28,075
% Change	12.2%	11.6%	11.0%	8.3%	8.7%
EBITDA	11,852	12,928	14,104	15,225	16,343
% Change	11.4%	9.1%	9.1%	7.9%	7.3%
Net Interest & Other Income	142	(15)	(62)	(108)	(45)
Net Income (Adjusted)	8,284	8,946	9,748	10,574	11,545
% Change	12.3%	8.0%	9.0%	8.5%	9.2%

Free Cash Flow Data (Nov)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	5,560	7,130	7,013	7,676	8,645
Depreciation & Amortization	1,833	1,942	2,155	2,224	2,224
Change in Working Capital	(165)	(167)	(264)	157	193
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	828	1,126	1,633	1,392	1,497
Capital Expenditure	(183)	(179)	(213)	(289)	(314)
Free Cash Flow	7,873	9,852	10,323	11,161	12,245
% Change	13.4%	25.1%	4.8%	8.1%	9.7%
Share / Issue Repurchase	(9,500)	(11,281)	(8,811)	(8,444)	(8,444)
Cost of Dividends Paid	NA	NA	NA	NA	NA
Change in Debt	0	(1,500)	0	0	0

Balance Sheet Data (Nov)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	7,613	5,431	6,080	8,973	12,950
Trade Receivables	2,072	2,344	2,181	2,519	2,737
Other Current Assets	1,547	2,388	2,070	2,168	2,439
Property, Plant & Equipment	1,936	1,873	1,506	897	251
Other Non-Current Assets	17,062	17,460	19,046	19,142	19,174
Total Assets	30,230	29,496	30,884	33,699	37,550
Short-Term Debt	1,499	0	1,843	1,843	1,843
Other Current Liabilities	9,022	10,200	10,797	12,061	13,452
Long-Term Debt	4,129	6,210	4,802	4,802	4,802
Other Non-Current Liabilities	1,475	1,463	1,622	1,717	1,753
Total Liabilities	16,125	17,873	19,064	20,423	21,850
Total Equity	14,105	11,623	11,820	13,276	15,701
Total Equity & Liabilities	30,230	29,496	30,884	33,699	37,550

* For full definitions of iQmethodSM measures, see page 21.

Company Sector

Software

Company Description

Adobe is a diversified software company providing cloud-based solutions across digital media, document workflows, and enterprise marketing. The company's core offerings include Creative Cloud, Document Cloud, and Experience Cloud, serving creative professionals, enterprises, and a broad base of prosumer and business users. Adobe's platforms are built around industry standards such as Photoshop and Acrobat, with increasing integration of AI capabilities across products.

Investment Rationale

We see increasing risk to Adobe's growth trajectory driven by: 1) AI compressing barriers of entry for competition from point solutions and AI-natives, 2) slowing adoption with potential seat reduction in the core creative professional market segment, and 3) AI consumption may weigh on margins and profitability. This is balanced by: 1) large Creative Cloud subscriber base 2) distribution channel & marketing personnel 3) breadth & depth of the digital content and experience software suite.

Stock Data

Average Daily Volume 7,721,867

Quarterly Earnings Estimates

	2025	2026
Q1	5.08A	6.05A
Q2	5.06A	5.97A
Q3	5.31A	6.08E
Q4	5.50A	6.30E



Can growth reaccelerate in the GenAI era?

Adobe remains deeply entrenched across creative, document, and marketing workflows, and its products remain the standard for many creative professionals and enterprises. The install base gives Adobe meaningful advantages: broad distribution, strong brand recognition, workflow familiarity, high switching costs in professional use cases, and a large subscription revenue base.

However, the stock is down 70% since its 2024 peak (vs. +68% NASDAQ index) on growing concerns that GenAI could structurally disrupt Adobe's core value proposition by lowering the skill barrier for content creation, enabling cheaper and simpler AI-native competitors, and shifting value away from tools and toward models and workflows. This threatens Adobe's pricing power, seat-based revenue model, and growth durability. Even with solid AI product execution, the risk is that Adobe becomes less valuable in a world where creation is increasingly simplified, resulting in sustained growth slowdown.

The Company responded by introducing its own AI based solutions, and we see evidence of initial traction. In 2Q26, AI-first ARR more than tripled YoY to ~\$500mn and in 1Q26, generative credit consumption grew 45% QoQ. This traction remains early in the monetization cycle, representing less than 2% of total ARR, and we believe will unlikely drive meaningful growth reacceleration.

We frame our views across five key points in this report:

- **Asymmetrical risk of AI disruption across different customer segments:** risk is highest in lower-end non-professional use cases, while professional and enterprise use cases remain more resilient, but not immune.
- **AI monetization is progressing, but not yet material:** We see strong adoption across Firefly with +50% ARR growth QoQ, Acrobat and Express also saw +21% MAUs growth QoQ, and Creative Freemium MAUs were up +70% YoY. However, this growth has not translated into meaningful ARR uplift or revenue acceleration as the company is focusing on freemium attach.
- **Cannibalization of legacy products:** Progress in AI capabilities has begun to pressure paid assets and incremental seats, creating downside risk to higher-margin businesses. Adobe has acknowledged pressure on certain monetization vectors, including continued declines in Adobe Stock, though it does not quantify the impact. Looking ahead, we see broader risk to seat expansion and pricing as free or low-cost alternatives substitute for paid workflows.
- **Leadership departure adds execution risk at key AI transition:** simultaneous CEO and CFO turnover heightens risk around strategy, continuity, and leadership stability.
- **Valuation is attractive, but the stock lacks catalysts given the fundamental challenges.** Stock valuation already discounts slower growth and AI risk, and we believe downside risk is limited. However, the potential for AI monetization and growth reacceleration remains constrained, and we don't see a clear near-term catalyst for multiple expansion.

Our view: AI risk is real; low valuation is insufficient for a more positive view

Current valuation reflects 8x CY27E EV/FCF, compared to historical range of ~25-30x. We also flag strong operating margins of 45% and FCF margins of 39%, supporting robust FCF generation. Nevertheless, we reinstate coverage with an Underperform rating, as we believe the company will face challenges to maintain its base due to AI disruption, which could pressure a large part of its revenue base. We believe the company will have difficulty converting its AI innovation to meaningful ARR contribution,



and that the current AI growth is mostly related to Freemium attach rather than new product monetization.

The key issue is both adoption and economics, in our view. We see Adobe's AI strategy as largely defensive and believe structural disruption makes recovery challenging. We see the market as fabricated to a small group of power users who require pixel-based control and the unique tools Adobe is providing, and a larger group of occasional users, where AI represents a serious risk of displacement and migration to cheaper AI-native solutions, which brings up potential risks to the number of seats, and potential cannibalization of high-margin legacy revenues.

Eroding moat in the age of AI

Advancements in GenAI capabilities lower the barriers of entry for creative software, and we see clear evidence of pressure on growth.

Subscription revenues account for 97% of total revenues, and until FY26 were reported in two segments: Digital Media (~75% of sub revenue) and Digital Experience (~25%).

The Company no longer provides this disclosure and now reports subscription revenue across two customer-oriented groups: Creative & Marketing Professionals (~71% of sub revenue) and Business Professionals & Consumers (~29%).

- Creative & Marketing Professionals (CMP).** This segment accounts for 71% of subscription revenues and addresses professional creators, creative teams, marketers, and enterprises that rely on Adobe to create, manage, distribute, and measure content across channels. CMP includes Creative Cloud, Digital Experience, Firefly & AI tools, as well as adjacent creative workflow products. Growth trends of this segment are somewhat more stable with growth accelerating from 9.9% in FY24 to 11.8% in FY26, mainly driven by uplift from the recent SEMRush acquisition. However, we model a decline in the growth rate to 8.6% by FY28 reflecting increasing pressure from AI-native competition and slower growth in mature Creative Cloud workflows.
- Business Professionals & Consumers (BPC).** This segment accounts for 29% of subscription revenue and represents Adobe's volume-driven segment, focused on document workflows and productivity use cases across SMBs, enterprises, and individual users. It addresses users that rely on Adobe for document creation, editing, and collaboration, and includes Document Cloud (Acrobat) and Adobe Express. We model a decline in growth from 14.6% in FY25 to 10.8% by FY28, reflecting increasing competition from freemium and lower-cost alternatives, limiting incremental monetization and pricing power.

Exhibit 1: CMP remains the majority of revenue, while BPC grows faster off a smaller base

Subscription segment revenue estimates, FY24-FY28E

	FY24	FY25	FY26E	FY27E	FY28E
Total Subscription Revenue (\$, mn)	20,521.0	22,904.0	25,768.6	28,102.8	30,716.0
YoY growth (%)	12.2%	11.6%	12.5%	9.1%	9.3%
Creative & Marketing Professionals Revenue (\$, mn)	14,750.0	16,310.0	18,242.7	19,765.6	21,468.5
YoY growth (%)	9.9%	10.6%	11.8%	8.3%	8.6%
share of total subscription revenue (%)	71.9%	71.2%	70.8%	70.3%	69.9%
Business Professionals & Consumers Revenue (\$, mn)	5,670.0	6,500.0	7,461.4	8,322.1	9,217.2
YoY growth (%)	19.4%	14.6%	14.8%	11.5%	10.8%
share of total subscription revenue (%)	27.6%	28.4%	29.0%	29.6%	30.0%

Source: BofA Global Research estimates, company report

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Asymmetrical AI risk across different customer profiles

The company does not disclose revenue split by customer type, yet we see the risks and opportunities around GenAI as better understood based on user intent, workflow complexity, and price sensitivity than by reported segment.

We divide the customer base into 3 buckets: casual creators and non-professional users, professional users, and enterprises.

Casual and non-professionals: most exposed as “good enough” is good enough

This cohort represents a risk area for Adobe, as rapid improvements in LLMs and AI-native tools increasingly deliver “good enough” creative output at low or zero cost. These users prioritize speed, simplicity, and affordability over professional-grade control, reducing the need to learn or pay for Adobe's core products.

Casual users are more price sensitive, less embedded in Adobe-centric workflows, and more willing to adopt lower-cost or free alternatives. As competing tools improve, Adobe

may face growing pressure to discount or bundle functionality to defend share, weighing on monetization.

Adobe is responding with its own AI product suite (see products overview in the Company Overview section on page 13); while increasingly using freemium distribution across Express and mobile/web to capture users early and drive upsell into paid tiers. We view this strategy as logical but believe disruption from alternative native-AI solutions will ultimately drive pricing down. Expanding freemium adoption does not inherently translate into ARPU-accretive ARR, and as AI tools continue to improve, converting these users into paying subscribers may prove increasingly difficult, potentially requiring pricing concessions.

Professionals: Control matters; strong positioning, but not immune

This customer bucket includes designers, editors, photographers, agencies, freelancers and other professionals who need precision, editability, file compatibility, collaboration, and control. Unlike casual users, professionals are not simply seeking acceptable output, but rather they require control over how that output is generated, edited, and integrated into a broader production workflow. This includes layer-level editing, file interoperability, versioning, collaboration, and consistency across tools. As a result, Adobe's value extends beyond content generation by enabling end-to-end creative workflows, where precision and repeatability matter.

Within this context, AI is more likely to enhance rather than disrupt Adobe's position. Tools like Firefly, Adobe's in-house generative AI model, can accelerate ideation, iteration, and production, while keeping users within Adobe's ecosystem of industry-standard applications. Adobe's model-agnostic approach also allows it to incorporate third-party innovation while maintaining control of the workflow layer, reinforcing its role as the system of control rather than just the system of generation.

However, not all professional users need the full Adobe workflow. Single-app users and prosumers, users who regularly create but are not full-time creative professionals, may be more exposed to AI-native solutions that can satisfy narrow use cases at lower cost. As such, we view Adobe's professional moat as durable in complex workflows but see risks in simpler use cases where the job is output driven rather than workflow driven, which could pressure pricing power and seat expansion over time.

Enterprises: a compelling opportunity, but still early

Adobe's enterprise business is likely the least exposed segment to AI-driven disruption, given its role as a deeply entrenched workflow layer across content creation, marketing, and customer experience operations. Enterprise customers need to scale content production, govern brand usage, connect content to customer data, measure performance, and close the loop between creative output and marketing ROI.

This is also where AI monetization is most likely to scale, in our view, as enterprise offerings increasingly incorporate consumption- and outcome-based pricing alongside subscriptions. Adobe's enterprise stack, including Firefly Services, Custom Models, Foundry, and GenStudio, is already monetized through these models, with GenStudio, AEP apps, and AEM each exceeding \$1bn in ARR in 1Q26, representing ~11% of total ARR. However, adoption remains early, and the shift toward consumption-based monetization has yet to meaningfully contribute to overall revenue growth.

Digital Experience offers a critical layer of governance, data control, and orchestration, which is increasingly important as enterprises prioritize auditability, compliance, and data security in AI-enabled environments. This segment represented 24% of total revenue in 2Q26 and grew 17% YoY, though we note increasing competition from traditional platforms like Salesforce in marketing analytics and campaign management, as well as AI-native vendors offering point solutions for content generation, personalization, and workflow automation at lower cost (see Competitive Landscape section, page 17).



Three ways to monetize AI

We discuss below Adobe's path to AI monetization. Subscription remains the foundation for revenues, with AI imposing risk on paid seat count and pricing. The company addresses the AI disruption through three key vectors:

- **Freemium products** (free versions) like Acrobat and Express drive MAU growth and upsell opportunities, with limited impact on revenues at this point, though with the intention of converting these customers to paid customers, representing a longer-term monetization opportunity despite limited near-term revenue contribution.
- **Consumption** is another layer for potential growth, with the company aiming to monetize compute-heavy workloads through credits, called "generative credits", and add-on credit packs across both individual and enterprise offerings. Generative credits consumption is scaling nicely, up 45% QoQ in 1Q26, though monetization is lagging, with AI ARR still representing less than 2% of the \$27.1bn total ARR.
- Lastly, the company also offers **Outcome-based pricing**, a potential revenue stream that is tied to certain business results, such as completed ad campaigns or improved conversion. This model is currently limited to enterprise Digital Experience (DX) offerings and remains at an early stage, with no meaningful contribution to revenues today.

While Adobe's AI initiatives show early traction, the key issue is conversion rather than adoption. In 2Q26, Firefly ending ARR grew 50% QoQ to \$300mn, and overall AI-ARR surpassed \$500mn, up 25% QoQ. However, AI-first ARR remains small relative to Adobe's scale, and we see limited evidence these mechanisms can scale fast enough to offset pressure on the core seat-based model and reaccelerate top-line growth. This makes the mechanics of pricing and consumption critical to monitor.

Pricing tiers and consumption add-ons

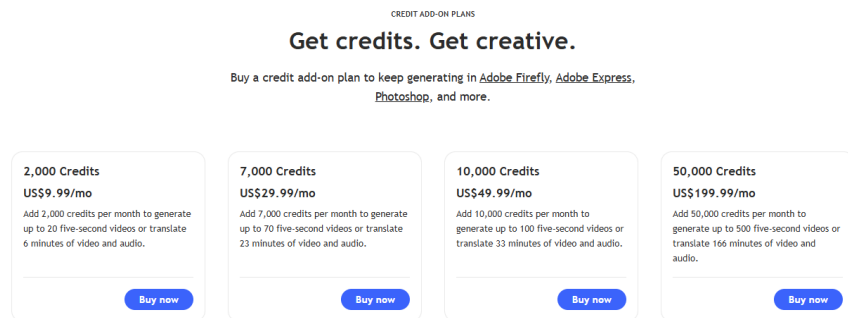
Outside of traditional subscription-based pricing, credits are Adobe's unit of consumption for AI features, where each action in the product (e.g., generating an image or editing a file) consumes a set number of credits depending on compute intensity. For example, a generative Fill in Photoshop uses 1 credit per generation, while premium features such as video and audio consume more credits due to higher compute intensity. The company sells packages or bundles of credits on a monthly basis, and Firefly pricing, for example, includes a 2,000 credits per month for \$9.99/month or 50,000 credits at \$199.99/mo. There are also add-on packs that are offered for incremental usage and create a direct consumption-based monetization path for users who exceed the included credits or need access to compute intensive workflows.

The opportunity becomes more meaningful as usage shifts toward compute heavy use cases such as video, audio, and enterprise-scale content generation. Adobe notes that 10,000 credits can generate up to 100 five-second videos or translate 33 minutes of video/ audio, while 50,000 credits can generate up to 500 five-second videos or translate to 166 minutes of video/audio.



Exhibit 2: 50K credits can generate up to 500 five-second videos or translate 166 minutes of video/audio

Credit add-on plans across Adobe Firefly, Adobe Express, Photoshop, and more



Source: Company Website

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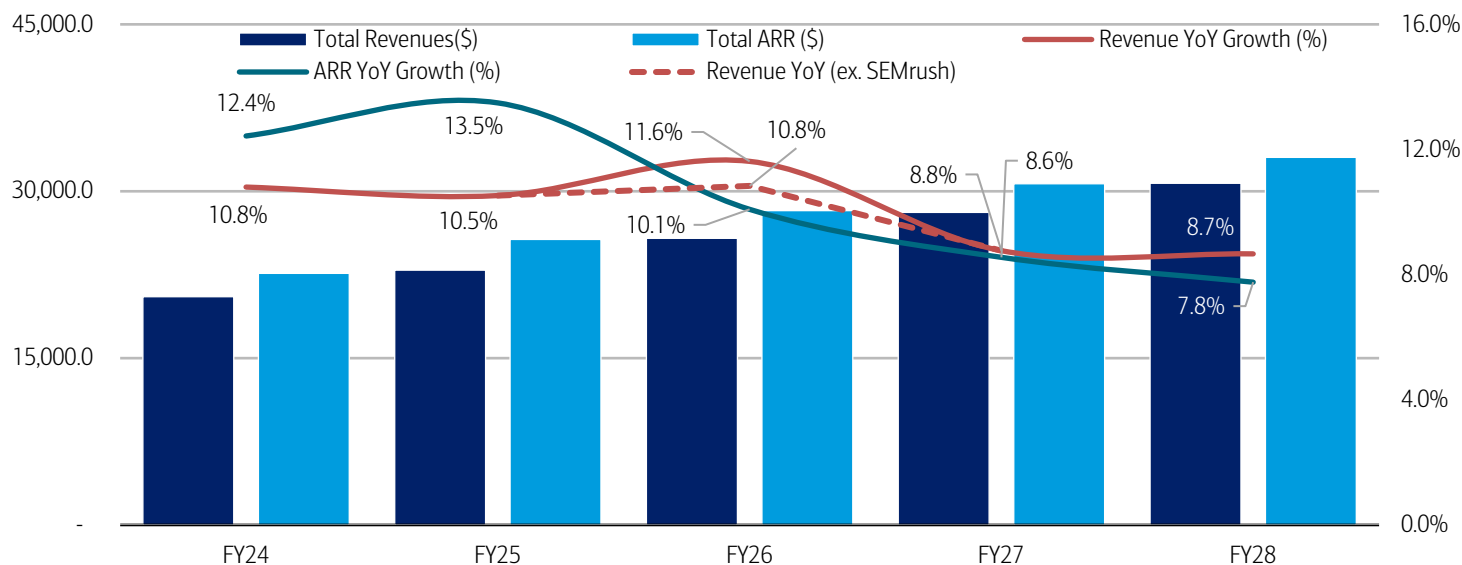
Usage is scaling faster than revenue

The broader financial evidence remains mixed, with some gap between usage and revenue realization. In 2Q26, management pointed to healthy usage trends across its AI offerings with AI-first ARR up >3x YoY, from \$165mn in 2Q25 to ~500mn in 2Q26, alongside creative freemium reaching 90mn MAUs, up 70% YoY, and Firefly ARR approaching \$300mn, up 50% QoQ. However, revenue and ARR only grew 12.7% and 12.5% (10.5% ex. SEMRush contribution), respectively, in the most recent quarter, as these signals have yet to gain scale. Instead, management lowered 2H26 ARR growth expectations, shifting its near-term focus toward freemium adoption and MAU expansion, acknowledging that this strategy will come at the expense of short-term ARR growth.

That tradeoff is reflected in Adobe's FY26 ending ARR growth target of 10.2% YoY, which includes a \$480mn contribution from SEMRush. Recent results reinforce our core concerns that although AI initiatives gain traction, durable, large-scale monetization remains limited and total growth continues to decelerate, on a like-to-like basis.

Exhibit 3: We model revenue growth and ARR growth to continue decelerating through FY28

Revenue and ARR dollar and growth trajectory



Source: BofA Global Research estimates, company report

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Cannibalization risk

Increased AI usage at the cost of higher-margin legacy revenue pools

We believe Adobe faces a significant potential risk for GenAI to cannibalize parts of its existing revenue base. While management has not provided quantitative disclosure on the magnitude of this pressure, it has pointed for two consecutive quarters to a continued decline in Adobe Stock, the company's marketplace for stock images, video, and creative assets, with no clear indication of stabilization. As generative capabilities improve, users increasingly create content using free or low-cost tools, putting pressure on high-margin businesses such as Adobe Stock.

At the same time, AI-powered workflows may also reduce the need for incremental seats in simpler use cases, introducing potential headwinds to the Company's traditional seat-based model.

Leadership transition adds to execution uncertainty

The announced departures of CEO Shantanu Narayen and CFO Dan Durn mark a significant leadership transition for Adobe, with both roles turning over during a period of strategic change for the company. Narayen has led Adobe since 2007 and was instrumental in transforming the business from a perpetual-license software vendor into a cloud-based subscription platform, making his departure particularly notable as the company embarks on another transformative shift driven by AI.

We flag the uncertainty around strategic continuity and execution, with the simultaneous turnover of both the CEO and CFO increasing the complexity of any transition and extending the timeline to establish a stable leadership structure.

Valuation: \$190 PO based on 7x EV/FCF

- We value Adobe using a CY27E EV/FCF multiple and benchmark the company against a broad set of software peers. This group trades at an average multiple of 9.7x CY27E EV/FCF (ex-FIG), while our \$190 PO implies a 7x CY27E EV/FCF multiple, a discount justified by the company's weaker revenue growth. We expect Adobe to grow revenue 11.6% in CY26 and 8.8% in CY27, well below the peer average of 18% and 14%, respectively.
- On margins, we expect gross margins to slightly decrease from 89.8% in CY26 to 89.5% in CY27, with operating margins declining to 45% in CY26-CY27, from 46.2% in CY25.
- Lastly, although we model 270bps decline in FCF margin between 2025 and 2027, we note the company's 38.7% margin positions it at the top end of the peer group.

Exhibit 4: Adobe's margins are above the peer group, yet sales growth is below the peer group average

Financial metrics of software peers

Software	Total Sales			Sales YoY			Gross Margin			Operating Margin			FCF Margin		
	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E
Figma	\$1,055.8	\$1,425.9	\$1,729.6	41.0%	35.1%	21.3%	88.0%	81.8%	81.2%	12.3%	9.1%	10.9%	23.0%	11.1%	12.7%
Intuit	\$20,121.0	\$22,444.7	\$25,102.2	17.2%	11.5%	11.8%	80.1%	81.5%	82.1%	40.6%	41.3%	42.6%	34.0%	35.5%	33.6%
Atlassian	\$5,759.9	\$6,944.0	\$7,983.1	20.1%	20.6%	15.0%	86.3%	87.8%	86.4%	24.9%	29.8%	28.8%	22.3%	26.8%	29.7%
Salesforce	\$41,525.0	\$46,109.0	\$50,399.6	9.6%	11.0%	9.3%	80.7%	80.8%	81.1%	34.1%	34.4%	35.2%	34.7%	34.3%	34.3%
HubSpot	\$3,131.3	\$3,704.9	\$4,287.0	19.2%	18.3%	15.7%	83.8%	85.0%	84.9%	18.6%	20.7%	21.6%	18.4%	19.6%	19.5%
Workday	\$9,552.0	\$10,657.7	\$11,844.2	13.1%	11.6%	11.1%	75.9%	79.4%	79.6%	29.6%	30.5%	32.1%	29.1%	29.9%	31.3%
Average	\$13,524.2	\$15,214.4	\$16,890.9	20.0%	18.0%	14.0%	82.4%	82.7%	82.5%	26.7%	27.6%	28.5%	26.9%	26.2%	26.9%

Adobe	Total Sales			Sales YoY			Gross Margin			Operating Margin			FCF Margin		
	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E
Adobe	\$23,769.0	\$26,531.2	\$28,856.9	10.5%	11.6%	8.8%	90.4%	89.9%	89.5%	46.2%	45.0%	45.1%	41.4%	38.9%	38.7%

Source: BofA Global Research estimates, Bloomberg, company report

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Exhibit 5: Our PO implies a 7x CY27E EV/FCF multiple, slightly below the 9.7x (ex-FIG) peer group average

Valuation multiples of software peers

Software	Ticker	Last	Market Cap	Cash	Debt	EV/FCF		
						CY25	CY26E	CY27E
Figma	FIG	\$21.08	\$10,853	\$1,639	\$56	42.9x	68.6x	47.3x
Intuit	INTU	\$272.14	\$74,101	\$2,975	\$6,888	15.4x	14.0x	12.4x
Atlassian	TEAM	\$85.50	\$21,252	\$1,566	\$1,215	13.8x	8.8x	7.6x
Salesforce	CRM	\$165.65	\$134,889	\$9,565	\$14,439	11.3x	10.3x	9.4x
HubSpot	HUBS	\$193.84	\$9,882	\$1,704	\$262	16.4x	12.7x	10.5x
Workday	WDAY	\$137.99	\$32,473	\$4,353	\$3,791	11.2x	9.8x	8.5x
Average						18.5x	20.7x	16.0x
Median						14.6x	11.5x	10.0x

Adobe	Ticker	Last	Our PO	Market Cap	Net Debt	EV/FCF		
						CY25	CY26E	CY27E
Adobe	ADBE	\$216.07	\$190.00	\$85,886	(\$662)			7x

Source: BofA Global Research estimates, Bloomberg, company report

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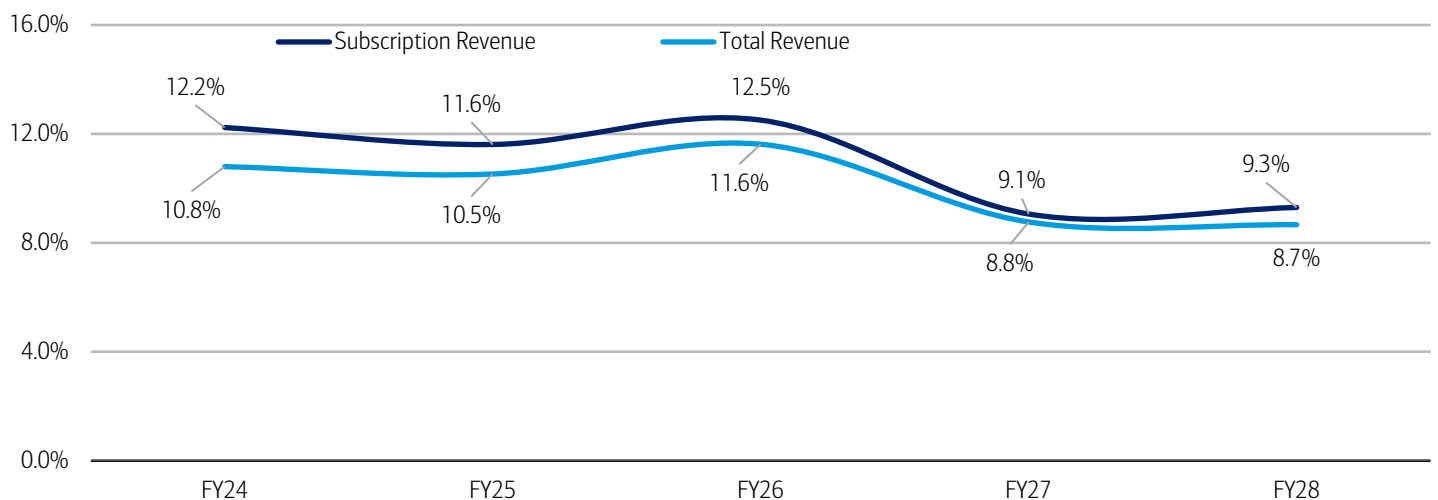
Financials

Growth: decelerating to single digits, reflecting a mature growth level

- We expect total revenue to grow 11.6% in FY26, 8.8% in FY27, and 8.7% in FY28, a meaningful deceleration from the 15-20% seen in FY20/FY21.
- Growth is supported primarily by Subscription revenue (~97% of total revenue), which we expect to grow 12.5% in FY26, 9.1% in FY27, and 9.3% in FY28, indicating a largely mature business.
- Product Revenue (1% of total revenue) to decline -5.6% in FY26, -9.4% in FY27, and -13.8% in FY28 reflecting ongoing shift to cloud subscriptions of legacy products.
- Services and Other Revenue (2% of total revenue) to decline -15.6% in FY26, grow 4.4% in FY27, and decline -15.7% in FY28, reflecting lower demand for implementation services.
- Risks to our estimates are upside from faster AI monetization and enterprise adoption, and downside from weaker conversion of AI-driven engagement into recurring revenue and pressure from AI-native competitors.

Exhibit 6: Total revenue to grow ~9% from FY26-FY28E, driven primarily by Subscription growth of 9-11%

Total revenue and segment revenue growth estimates, FY24-FY28E

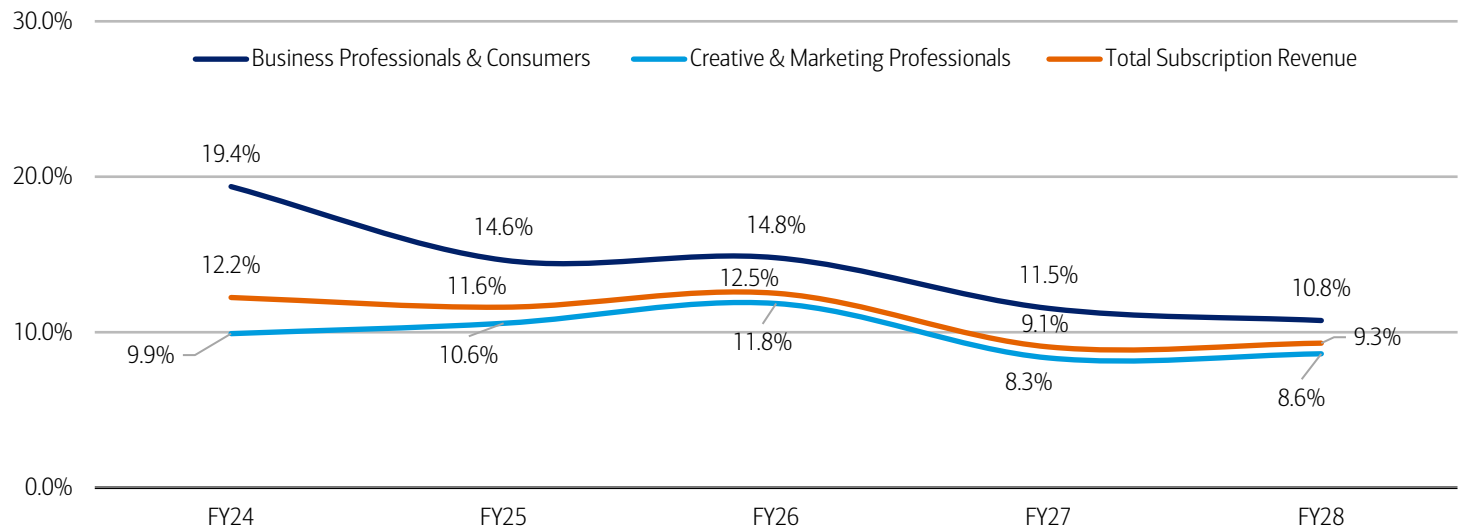


Source: BofA Global Research estimates, company report

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Exhibit 7: Total subscription revenue to grow 9-11% from FY26-FY28, led by Business Professionals & Consumers growth of 11-14%

Total subscription revenue and subscription segment revenue growth estimates, FY24-FY28E



Source: BofA Global Research estimates, company report

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Margins: strong profile: some pressure brewing

- We model gross margins to slightly decline, from 90.4% in FY25 to 89.5% in FY28E, as AI usage increases, resulting in higher compute intensity associated with AI-driven features, partially offset some of the pricing initiatives and scale efficiencies.
- Operating margins are expected to decline 120bps from FY25 to FY26-FY28E to 45%, from incremental costs associated with scaling GenAI capabilities alongside mix shift toward lower-ARPU freemium and consumption models. We note though that Adobe's operating margin level remains best-in-class.
- We expect free cash flow margin to also experience some pressure, declining from 41.4% in FY25 to 39.1% by FY28. Similar to OM, this FCFm profile is at the top of the peer group.

Exhibit 8: Gross margin and operating margin to decline 90bps and 240bps from FY25-FY28E, respectively

Margin profile estimates, FY24-FY28E

	FY24	FY25	FY26	FY27	FY28
Gross Margin	89.6%	90.4%	89.9%	89.5%	89.5%
Operating Margin	46.6%	46.2%	45.0%	45.1%	45.0%
Free Cash Flow Margin	36.6%	41.4%	38.9%	38.7%	39.1%

Source: BofA Global Research estimates, company report

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Company Overview: top-down approach

Adobe operates a cloud-based software platform spanning digital media, document workflows, and enterprise marketing. We frame Adobe through a top-down revenue and customer lens, aligning the business to its growth drivers, monetization model, and exposure to AI-driven disruption.

Exhibit 9: Adobe remains highly subscription-driven; with CMP as the core engine and BPC driving faster growth

Total revenue and segment revenue estimates, FY24-FY28E

	FY24	FY25	FY26	FY27	FY28
Total Revenue	21,505.0	23,769.0	26,531.2	28,856.9	31,357.2
YoY growth (%)	10.8%	10.5%	11.6%	8.8%	8.7%
Subscription Revenue (\$, mn)	20,521.0	22,904.0	25,768.6	28,102.8	30,716.0
YoY growth (%)	12.2%	11.6%	12.5%	9.1%	9.3%
share of total revenue (%)	95.4%	96.4%	97.1%	97.4%	98.0%
Creative & Marketing Professionals Revenue (\$, mn)	14,750.0	16,310.0	18,242.7	19,765.6	21,468.5
YoY growth (%)	9.9%	10.6%	11.8%	8.3%	8.6%
Business Professionals & Consumers Revenue (\$, mn)	5,670.0	6,500.0	7,461.4	8,322.1	9,217.2
YoY growth (%)	19.4%	14.6%	14.8%	11.5%	10.8%
Product Revenue (\$, mn)	386.0	325.0	306.9	278.2	239.8
share of total revenue (%)	1.8%	1.4%	1.2%	1.0%	0.8%
Services and Other Revenue (\$, mn)	598.0	540.0	455.6	475.9	401.3
share of total revenue (%)	2.8%	2.3%	1.7%	1.6%	1.3%

Source: BofA Global Research estimates, company report

BofA GLOBAL RESEARCH

Following its FY26 disclosure update, Adobe now reports subscription revenue across two customer-oriented groups: Creative & Marketing Professionals (CMP) and Business Professionals & Consumers (BPC). CMP represents the majority of revenue and anchors Adobe's position in professional and enterprise workflows, while BPC reflects a faster-growing, more volume-driven segment tied to document and prosumer use cases.

Below, we break down Adobe's reported customer-oriented groups and the underlying product families driving growth and monetization strategies.

Creative & Marketing Professionals

Creative & Marketing Professionals is Adobe's largest reported customer group representing ~71% of sub revenue in 2Q26. The group includes the majority of Creative Cloud subscription revenues as well as all Digital Experience sub revenue, making it the core economic engine of the company. Customers include professional creators, creative teams, marketers, and enterprises that rely on Adobe to create, manage, distribute, and measure content across channels.

We model the segment's growth to decelerate from 11.8% in FY26 to 8.3% in FY27, and 8.6% in FY28, reflecting increasing pressure AI-native competition, slower growth in mature Creative Cloud workflows, and Adobe's transition toward freemium and consumption-based monetization. At the same time, Adobe retains a meaningful advantage from its position as the industry standard across professional creativity tools, high retention among professional users, and pricing power supported by premium tiers and AI-enhanced functionality.

The core offerings and products in the segment are Creative Cloud, Firefly and AI tools, adjacent creative workflow products, and digital experience.

Creative Cloud:

Creative Cloud is Adobe's flagship creative software suite and includes Photoshop, Illustrator, Premier Pro, After Effects, InDesign, Lightroom, and other tools used across design, photography, video, illustration, and publishing workflows. The suite serves professional designers, video editors, photographers, agencies, creative teams, and individual creators. Monetization is primarily subscription-based, with incremental upside



from premium tiers, products bundles, seat-expansion, and now consumption through AI-enabled features.

Creative Cloud's competitive advantage is its role as the industry standard for professional creative workflows. While the individual applications may not always be viewed as best-of-breed on a standalone basis, Adobe's advantage lies in the breadth and integration of the suite. The more important value proposition is not any single tool, but the end-to-end workflow across content creation, editing, collaboration, review, and distribution. This supports retention and creates switching costs, particularly for professional users and teams.

Firefly & AI tools:

Adobe's generative AI platform, Firefly, is embedded natively across Creative Cloud applications to enable AI-assisted design, image generation, video editing, and workflow automation. Firefly functions as both a product layer and a monetization layer, with usage increasingly tied to generative credits, premium tiers, and standalone Firefly plans.

From a positioning standpoint, Adobe is pursuing a hybrid / LLM-flexible approach:

- Firefly models are trained on Adobe-owned and licensed data, supporting commercially safe content generation.
- At the same time, Adobe has begun integrating third-party models, including OpenAI and other leading models, into its applications, allowing users to choose between models depending on use case, while keeping workflows, editing, and asset management within Adobe's ecosystem.

This gives users more model choice while keeping creation, editing, and asset management inside Adobe's ecosystem

Adjacent tools (Frame.io, Substance):

Adobe continues to expand the ecosystem through acquisitions of adjacent tools that both deepen workflow integration and broaden the user base.

- **Frame.io**, acquired in 2021, enhances collaboration and review in video production workflows.
- **Substance**, acquired in 2019, targets 3D design and immersive content creation.

Together, these products support incremental monetization through attach, while also acting as feeders into higher-value Creative Cloud subscriptions.

Business Professionals & Consumers

Business Professionals & Consumers represents Adobe's volume-driven segment, focused on document workflows and productivity use cases across SMBs, enterprises, and individual users. This segment benefits from a broader user base than the professional creative market, supported by high engagement, and recurring, non-discretionary usage tied to everyday document creation and management, with Acrobat positioned as the de facto standard for PDFs.

BPC accounts for ~29% of subscription revenue, and we model growth to decelerate from 14.8% in FY26 to 11.5% in FY27 and 10.8% in FY28. We expect growth to remain supported by Acrobat AI Assistance, Express, freemium acquisitions, and premium features attach, but also expect deceleration as the segment scales, conversion from free users to paid remains gradual, and growth in core Acrobat workflows matures.

The core offerings and products within BPC include Document Cloud / Acrobat, Acrobat Assistant, and Adobe Express.



Document Cloud

With Acrobat as the flagship franchise, Document Cloud enables PDF creation, editing, sharing, and collaboration, forming the backbone of digital document workflows across both individuals and enterprises. The platform benefits from PDF's status as a de facto standard, supporting high engagement and recurring usage across legal, financial, and administrative workflows.

Monetization is primarily subscription-based, driven by user tiers, feature bundles (Standard vs Pro), and increasing attach of premium capabilities such as e-signature and AI-powered tools.

Acrobat AI Assistant

Adobe is increasingly positioning Acrobat as an intelligent productivity layer, with AI Assistant representing a strategic initiative to keep users within the Acrobat environment rather than exporting documents to external large language models such as GPT, Claude, or Gemini. By embedding summarization, Q&A, and content generation directly into document workflows, Adobe aims to make PDFs more interactive while retaining control of the user experience, data context, and monetization.

From a model perspective, Adobe is pursuing a hybrid architecture, leveraging third-party LLMs while retaining control over the workflow, document context, and user interface within Acrobat. This broader model-agnostic approach ensures Adobe's primary value lies in owning the application layer rather than the underlying model, allowing it to remain flexible as foundational models continue to evolve.

Early traction appears strong, with management reporting Acrobat and AI Assistant MAUs up ~200% YoY in 1Q26, highlighting increasing adoption of AI-powered document workflows, though this has yet to translate into a meaningful reacceleration in segment growth.

Adobe Express

Adobe Express is Adobe's lightweight design and content creation product, serving casual creators, students, SMBs, marketers, and business users who need fast and simple creative output. Express includes templates, design tools, social content creation, brand kits, and Firefly-powered generative AI features. Strategically, Express gives Adobe a lower-friction entry point into the broader creative market and helps the company compete more directly with AI-native and freemium design platforms.

The opportunity is large, but monetization remains the key question. Express MAUs have grown rapidly, up 300% YoY in 1Q26, but users in this cohort are more price sensitive and less dependent on professional-grade workflow depth. As a result, Express can expand Adobe's top-of-funnel reach, but we remain cautious on whether it can convert users into ARPU-accretive ARR at a pace that meaningfully changes Adobe's growth trajectory.



Enterprise opportunity

Adobe's updated structure includes all Digital Experience (DX) subscription revenue in CMP. We discuss Digital Experience separately as it represents Adobe's most direct enterprise-facing business and is central to the company's AI monetization opportunity.

Adobe does not disclose enterprise revenue as a standalone category, as enterprise customers are embedded across both Creative & Marketing Professionals and Business Professionals & Consumers customer groups. However, the majority of enterprise-focused revenue is concentrated within the Digital Experience segment, which accounts for roughly ~25% of total revenue and provides Adobe with a meaningful presence across enterprise marketing, content management, analytics, commerce, and customer experience.

The core offerings within Digital Experience include: Adobe Experience Cloud, Adobe Experience Platform, Adobe Experience Manager, GenStudio, and Firefly Services / Custom models.

Experience Cloud:

Experience Cloud is the broader enterprise marketing and customer experience suite. It includes products for analytics, content management, personalization, campaign orchestration, commerce, and customer journey management. The platform helps enterprises understand customer behavior, deliver personalized experiences, and measure the performance of marketing campaigns across digital channels.

Experience Cloud acts as a bridging mechanism, connecting Adobe creative capabilities with enterprise marketing execution. As GenAI increases the volume of content that can be created, enterprises need tools to decide what content to produce, where to distribute it, how to work personalize it, and how to measure whether it worked. This is where Adobe's combination of content, data, and workflow becomes more differentiated.

Adobe Experience Platform (AEP):

AEP serves as the centralized data layer underpinning the Digital Experience suite, enabling real-time customer data ingestion, identity resolution, segmentation, and activation. The platform positions Adobe within the enterprise data and personalization stack, increasingly competing with customer data platforms (CDPs) and broader data infrastructure vendors.

Adobe Experience Manager (AEM):

Adobe Experience Manager is Adobe's enterprise content management and digital assets management platform. AEM helps organizations create, manage, store, govern, and deliver digital content across websites, apps, and other customer-facing channels, making AEM a key governance and orchestration layer for enterprise content workflow.

GenStudio, Firefly Service, and Custom Models

These products represent Adobe's push to monetize enterprise AI workflows more directly. These offerings help enterprises generate, adapt, and scale content while maintaining brand control and workflow governance. GenStudio is focused on content supply chain and campaign execution, Firefly Services and Custom Models allow enterprises to create content using models and workflows tailored to their brand assets and creative requirements.

This is the strongest AI use case within Adobe's enterprise business. Large organizations are not simply trying to generate one image or one video. They need to produce many content variations, preserve brand consistency, connect creative output to campaign performance, and reduce production bottlenecks. Adobe is well positioned here because it already sits across creative tools, content management, customer data, and marketing execution.



Competitive landscape

Adobe's competitive landscape is widening as AI lowers barriers to content creation and expands the range of viable alternatives. In our view, competition should be assessed through four lenses: AI-native generative solutions, lower-end design and content creation, professional workflow tools, and enterprise marketing and analytics. Within this framing, the financial risk is not only share loss, but also lower monetization quality, slower seat expansion, and greater pressure on higher-margin legacy revenue streams.

AI-native generative solutions: We believe AI-native generative tools represent the most structurally disruptive threat, as they fundamentally change the cost and skill required to create content, compressing the value of traditional creative workflows. This pressure is most acute in simpler, output-oriented workflows and lower-end user cohorts, but it is also relevant more broadly because it shifts value away from creation alone and toward workflow, control, governance, and monetization. Leading platforms such as **OpenAI**, **Midjourney**, and **Runway** exemplify this shift, and increasingly span image, video, and design workflows, competing not only in content creation but also across prosumer and marketing use cases.

In our view, this is the core competitive issue for Adobe: the company is no longer defending only against traditional software vendors, but against a broader set of AI-native alternatives that can expand usage while also compressing economics.

Lower-end design and content creation: Competition is most intense in casual, non-professional, and prosumer use cases, where users tend to prioritize speed, simplicity, and affordability over professional-grade control. This is where **Canva** is most relevant, as it competes at the lower end of the market, while increasingly moving up-market, including through its **Affinity** acquisition. Adobe's response through Express and freemium distribution is strategically logical in our view, but the key question is whether these users can be converted into ARPU-accretive ARR rather than simply expanding the funnel at lower monetization quality.

Professional workflow tools: In professional use cases, Adobe benefits from offering an integrated suite across creative workflows, but best-of-breed platforms continue to pose targeted competitive risks. In UI/UX, **Figma** is gaining traction given its collaborative, cloud-native design environment and ability to bridge design and development workflows. In video, tools such as **CapCut** are relevant in social-first use cases, emphasizing speed, templates, and AI-assisted editing over precision control. In 3D and real-time design, platforms like **Blender** and **Unreal Engine** are increasingly viewed as viable alternatives. In our view, this reinforces a broader point: Adobe's moat is most durable where customers need integrated workflows and precision, but narrower, output-driven use cases remain more exposed to specialized competitors.

Enterprise marketing and analytics: In the enterprise, the competitive debate shifts from standalone creation tools to platforms that enable content orchestration, personalization, and measurement at scale. Here, Adobe competes with the likes of **Salesforce** across marketing, data, and analytics, where the key risk is not content creation itself, but ownership of customer data and engagement workflows that increasingly anchor enterprise marketing budgets. Adobe also competes with digital experience platform vendors such as **Sitecore** and **Acquia**, particularly around content management and delivery. While Adobe's footprint across creative tools, content management, and workflow orchestration is a key strength, the central question is whether this integrated positioning can drive durable AI monetization and reaccelerate ARR, rather than primarily reinforcing a more defensive enterprise posture.

Exhibit 10: Summary of Key Financials

BoFA Global Research estimates, company report

Income Statement	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	FY25	FY26	FY27	FY28
Business Professionals & Consumers Subscription Revenue	1,530.0	1,600.0	1,650.0	1,720.0	1,780.0	1,850.0	1,880.0	1,951.4	1,994.4	2,064.2	2,091.0	2,172.6	6,500.0	7,461.4	8,322.1	9,217.2
YoY Growth (%)	14.2%	15.1%	14.6%	14.7%	16.3%	15.6%	13.9%	13.5%	12.0%	11.6%	11.2%	11.3%	14.6%	14.8%	11.5%	10.8%
Creative & Marketing Professionals Subscription Revenue	3,920.0	4,020.0	4,120.0	4,250.0	4,390.0	4,540.0	4,626.3	4,686.4	4,775.4	4,930.6	4,989.8	5,069.6	16,310.0	18,242.7	19,765.6	21,468.5
YoY Growth (%)	10.4%	10.4%	10.8%	10.7%	12.0%	12.9%	12.3%	10.3%	8.8%	8.6%	7.9%	8.2%	10.6%	11.8%	8.3%	8.6%
Subscription Revenue	5,483.0	5,641.0	5,791.0	5,989.0	6,198.0	6,416.0	6,518.7	6,636.0	6,782.0	6,999.0	7,090.0	7,231.8	22,904.0	25,768.6	28,102.8	30,716.0
Product Revenue	95.0	88.0	68.0	74.0	90.0	89.0	63.6	64.3	77.1	79.0	60.3	61.7	325.0	306.9	278.2	239.8
Services and Other Revenue	136.0	144.0	129.0	131.0	110.0	113.0	116.6	116.0	112.6	119.3	122.6	121.4	540.0	455.6	475.9	401.3
Total Revenue	5,714.0	5,873.0	5,988.0	6,194.0	6,398.0	6,618.0	6,698.9	6,816.3	6,971.7	7,197.3	7,273.0	7,414.9	23,769.0	26,531.2	28,856.9	31,357.2
YoY Growth (%)	10.3%	10.6%	10.7%	10.5%	12.0%	12.7%	11.9%	10.0%	9.0%	8.8%	8.6%	8.8%	10.5%	11.6%	8.8%	8.7%
Total Cost of Goods Sold	550.0	565.0	569.0	596.0	629.0	669.0	689.4	700.8	728.4	754.5	768.4	780.5	2,280.0	2,688.2	3,031.8	3,282.3
Gross Profit	5,164.0	5,308.0	5,419.0	5,598.0	5,769.0	5,949.0	6,009.5	6,115.5	6,243.2	6,442.8	6,504.6	6,634.5	21,489.0	23,843.0	25,825.1	28,074.9
Gross Margin	90.4%	90.4%	90.5%	90.4%	90.2%	89.9%	89.7%	89.7%	89.6%	89.5%	89.4%	89.5%	90.4%	89.9%	89.5%	89.5%
R&D	779.0	835.0	834.0	836.0	834.0	908.0	926.2	935.4	896.1	958.9	968.5	987.8	3,284.0	3,603.6	3,811.3	4,025.9
S&M	1,364.0	1,484.0	1,470.0	1,581.0	1,502.0	1,619.0	1,649.8	1,666.3	1,632.9	1,747.2	1,756.0	1,785.8	5,899.0	6,437.0	6,922.0	7,561.4
G&A	306.0	315.0	342.0	357.0	398.0	477.0	486.5	491.4	491.4	520.9	531.3	547.2	1,320.0	1,852.9	2,090.8	2,368.1
Total Operating Expenses	2,449.0	2,634.0	2,646.0	2,774.0	2,734.0	3,004.0	3,062.5	3,093.1	3,020.5	3,227.0	3,255.7	3,320.9	10,503.0	11,893.5	12,824.1	13,955.4
Operating Income	2,715.0	2,674.0	2,773.0	2,824.0	3,035.0	2,945.0	2,947.0	3,022.4	3,222.7	3,215.8	3,248.9	3,313.6	10,986.0	11,949.4	13,001.0	14,119.4
Operating Margin	47.5%	45.5%	46.3%	45.6%	47.4%	44.5%	44.0%	44.3%	46.2%	44.7%	44.7%	44.7%	46.2%	45.0%	45.1%	45.0%
Interest Expense	(62.0)	(68.0)	(67.0)	(66.0)	(63.0)	(65.0)	(65.0)	(65.0)	(65.0)	(65.0)	(63.0)	(70.0)	(263.0)	(258.0)	(263.0)	(240.0)
Other Income	75.0	58.0	58.0	57.0	62.0	47.0	47.0	40.0	40.0	40.0	40.0	35.0	248.0	196.0	155.0	195.0
Pre-Tax Income	2,728.0	2,664.0	2,764.0	2,815.0	3,034.0	2,927.0	2,929.0	2,997.4	3,197.7	3,190.8	3,225.9	3,278.6	10,971.0	11,887.4	12,893.0	14,074.4
Income Taxes	504.0	493.0	512.0	521.0	546.0	527.0	527.2	539.5	575.6	574.3	580.7	590.1	2,030.0	2,139.8	2,320.7	2,533.4
Net Income	2,224.0	2,171.0	2,252.0	2,294.0	2,488.0	2,400.0	2,401.8	2,457.9	2,622.1	2,616.4	2,645.2	2,688.4	8,941.0	9,747.7	10,572.2	11,541.0
Non-GAAP EPS, Diluted	\$ 5.08	\$ 5.06	\$ 5.31	\$ 5.50	\$ 6.05	\$ 5.96	\$ 6.08	\$ 6.30	\$ 6.76	\$ 6.79	\$ 6.90	\$ 7.09	\$ 20.95	\$ 24.40	\$ 27.54	\$ 31.08
Diluted Shares Outstanding	438	429	424	417	411	402	395	390	388	386	383	379	427	400	384	371
Margin Analysis																
Gross Margin	90.4%	90.4%	90.5%	90.4%	90.2%	89.9%	89.7%	89.7%	89.6%	89.5%	89.4%	89.5%	90.4%	89.9%	89.5%	89.5%
Operating Margin	47.5%	45.5%	46.3%	45.6%	47.4%	44.5%	44.0%	44.3%	46.2%	44.7%	44.7%	44.7%	46.2%	45.0%	45.1%	45.0%
Net Margin	38.9%	37.0%	37.6%	37.0%	38.9%	36.3%	35.9%	36.1%	37.6%	36.4%	36.4%	36.3%	37.6%	36.7%	36.6%	36.8%
Tax Rate	18.5%	18.5%	18.5%	18.5%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.5%	18.0%	18.0%	18.0%
YoY Growth																
Total Revenue	10.3%	10.6%	10.7%	10.5%	12.0%	12.7%	11.9%	10.0%	9.0%	8.8%	8.6%	8.8%	10.5%	11.6%	8.8%	8.7%
Gross Profit	11.8%	11.9%	11.0%	11.6%	11.7%	12.1%	10.9%	9.2%	8.2%	8.3%	8.2%	8.5%	11.6%	11.0%	8.3%	8.7%
Total Operating Expenses	13.7%	14.5%	11.7%	14.6%	11.6%	14.0%	15.7%	11.5%	10.5%	7.4%	6.3%	7.4%	13.6%	13.2%	7.8%	8.8%
Operating Income	10.1%	9.5%	10.3%	8.8%	11.8%	10.1%	6.3%	7.0%	6.2%	9.2%	10.2%	9.6%	9.7%	8.8%	8.8%	8.6%
Net Income	8.7%	7.3%	8.3%	7.6%	11.9%	10.5%	6.7%	7.1%	5.4%	9.0%	10.1%	9.4%	8.0%	9.0%	8.5%	9.2%
EPS	13.2%	12.8%	14.4%	14.3%	19.2%	17.8%	14.5%	14.6%	11.7%	13.8%	13.5%	12.6%	13.7%	16.4%	12.9%	12.8%
QoQ Growth																
Total Revenue	1.9%	2.8%	2.0%	3.4%	3.3%	3.4%	1.2%	1.8%	2.3%	3.2%	1.1%	2.0%				
Gross Profit	2.9%	2.8%	2.1%	3.3%	3.1%	3.1%	1.0%	1.8%	2.1%	3.2%	1.0%	2.0%				
Total Operating Expenses	1.2%	7.6%	0.5%	4.8%	-1.4%	9.9%	1.9%	1.0%	-2.3%	6.8%	0.9%	2.0%				
Operating Income	4.6%	-1.5%	3.7%	1.8%	7.5%	-3.0%	0.1%	2.6%	6.6%	-0.2%	1.0%	2.0%				
Net Income	4.3%	-2.4%	3.7%	1.9%	8.5%	-3.5%	0.1%	2.3%	6.7%	-0.2%	1.1%	1.6%				
EPS	5.5%	-0.3%	5.0%	3.6%	10.0%	-1.5%	2.0%	3.6%	7.3%	0.3%	1.7%	2.8%				

Source: BoFA Global Research estimates, company report

BoFA GLOBAL RESEARCH



Glossary

- AEM - Adobe Experience Manager
- AEP - Adobe Experience Platform
- AI - Artificial Intelligence
- ARPU - Average Revenue Per User
- ARR - Annual Recurring Revenue
- BPC - Business Professionals & Consumers
- CC - Creative Cloud
- CDP - Customer Data Platform
- CMP - Creative & Marketing Professionals
- CX - Customer Experience
- DC - Document Cloud
- DX - Digital Experience
- FCF - Free Cash Flow
- GenAI - Generative Artificial Intelligence
- GM - Gross Margin
- LLM - Large Language Model
- MAU - Monthly Active Users
- OM - Operating Margin
- QoQ - Quarter-over-Quarter
- UI - User Interface
- UX - User Experience
- WAU - Weekly Active Users
- YoY - Year-over-Year

Price objective basis & risk

Adobe (ADBE)

Our PO of \$190 is based on an EV/FCF multiple of 7x our C27E free cash flow estimate benchmarked against the 9.7x average multiple for a broad set of software peers (discount justified by the company's weaker revenue growth), reflecting a more muted growth outlook, increasing competitive pressure from point solutions and AI-native entrants, and an AI monetization strategy that we view as primarily defensive rather than accretive at this stage.

Downside risks to our PO are 1) faster-than-expected disruption from AI-native and lower-cost competitors, particularly in lower-end and prosumer use cases, 2) weaker-than-expected conversion of AI-driven engagement into durable, high-quality ARR, resulting in further pressure on growth and monetization, and 3) incremental pressure on the seat-based model, including potential cannibalization of higher-margin legacy revenue streams.

Upside risks to our PO are 1) stronger-than-expected AI monetization, with consumption and enterprise adoption scaling faster than anticipated, and 2) sustained resilience in professional and enterprise workflows, supporting pricing power and seat expansion.

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I, Tal Liani, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Akamai	AKAM	AKAM US	Tal Liani
	Amdocs	DOX	DOX US	Tal Liani
	Arista Networks	ANET	ANET US	Tal Liani
	Asana	ASAN	ASAN US	Matt Bullock
	Autodesk	ADSK	ADSK US	Tomer Zilberman
	Bentley Systems	BSY	BSY US	Tomer Zilberman
	Box Inc	BOX	BOX US	Matt Bullock
	Ciena	CIEN	CIEN US	Tal Liani
	Cisco Systems	CSCO	CSCO US	Tal Liani
	Cloudflare	NET	NET US	Tal Liani
	Coreweave	CRWV	CRWV US	Tal Liani
	Datadog Inc	DDOG	DDOG US	Koji Ikeda, CFA
	Dynatrace	DT	DT US	Koji Ikeda, CFA
	Extreme Networks, Inc.	EXTR	EXTR US	Tomer Zilberman
	Figma	FIG	FIG US	Tal Liani
	Fortinet	FTNT	FTNT US	Tal Liani
	Global-e Online Ltd.	GLBE	GLBE US	Matt Bullock
	Intuit	INTU	INTU US	Tal Liani
	JFrog Ltd	FROG	FROG US	Koji Ikeda, CFA
	Microsoft Corporation	MSFT	MSFT US	Tal Liani
	MongoDB Inc	MDB	MDB US	Koji Ikeda, CFA
	Motorola Solutions	MSI	MSI US	Tomer Zilberman
	Nebius Group N.V.	NBIS	NBIS US	Tal Liani
	Oracle Corporation	ORCL	ORCL US	Tal Liani
	Palo Alto Networks	PANW	PANW US	Tal Liani
	Samsara	IOT	IOT US	Matt Bullock
	SentinelOne, Inc.	S	S US	Tal Liani
	ServiceNow	NOW	NOW US	Tal Liani
	Shopify, Inc.	SHOP	SHOP US	Tal Liani
	Snowflake	SNOW	SNOW US	Koji Ikeda, CFA



US - Networking and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Twilio	TWLO	TWLO US	Koji Ikeda, CFA
	Zeta Global	ZETA	ZETA US	Matt Bullock
	Zscaler	ZS	ZS US	Tal Liani
NEUTRAL				
	Amplitude, Inc.	AMPL	AMPL US	Koji Ikeda, CFA
	Atlassian Corp	TEAM	TEAM US	Koji Ikeda, CFA
	Check Point Software Technologies	CHKP	CHKP US	Tal Liani
	CrowdStrike Holdings Inc.	CRWD	CRWD US	Tal Liani
	Elastic NV	ESTC	ESTC US	Koji Ikeda, CFA
	GitLab Inc.	GTLB	GTLB US	Koji Ikeda, CFA
	Monday.com	MNDY	MNDY US	Matt Bullock
	SailPoint	SAIL	SAIL US	Tal Liani
	Workday Inc.	WDAY	WDAY US	Tal Liani
UNDERPERFORM				
	Adobe	ADBE	ADBE US	Tal Liani
	BlackLine, Inc.	BL	BL US	Tomer Zilberman
	C3.ai	AI	AI US	Koji Ikeda, CFA
	Coveo	YCVO	CVO CN	Koji Ikeda, CFA
	Docusign Inc	DOCU	DOCU US	Matt Bullock
	Dropbox	DBX	DBX US	Matt Bullock
	F5 Inc	FFIV	FFIV US	Tal Liani
	Fastly	FSLY	FSLY US	Tal Liani
	HubSpot, Inc.	HUBS	HUBS US	Matt Bullock
	Lightspeed Commerce Inc.	LSPD	LSPD US	Matt Bullock
	Lightspeed Commerce Inc.	YLSPD	LSPD CN	Matt Bullock
	Okta Inc	OKTA	OKTA US	Tal Liani
	PagerDuty	PD	PD US	Koji Ikeda, CFA
	Salesforce Inc	CRM	CRM US	Tal Liani
	UiPath	PATH	PATH US	Koji Ikeda, CFA
	ZoomInfo	GTM	GTM US	Matt Bullock

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

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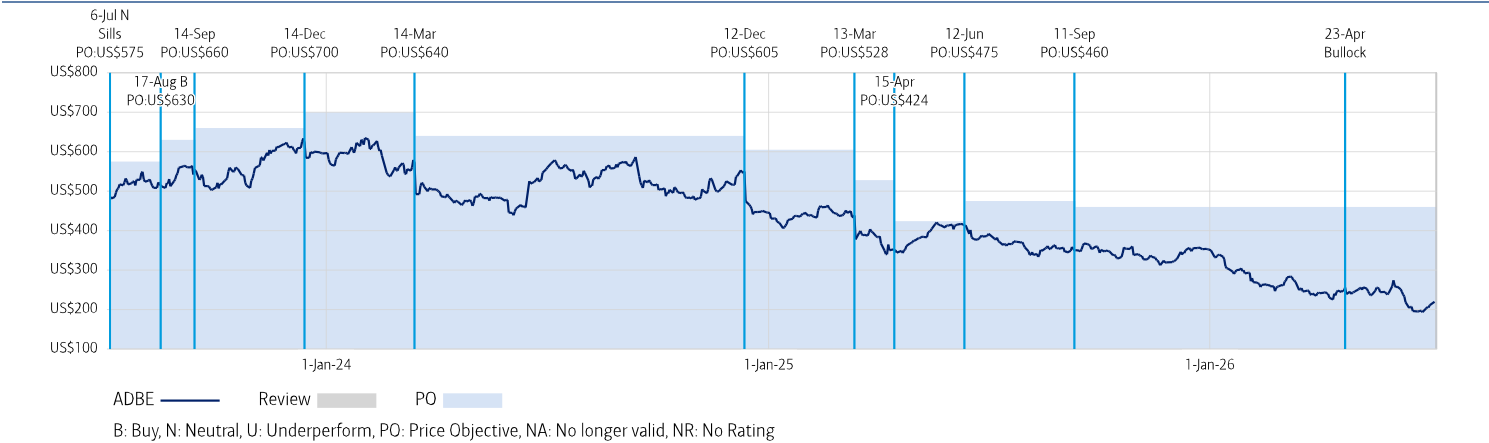
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Important Disclosures

Adobe (ADBE) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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